budget expenditure, the Central government's public expenditure for 2020–21 was estimated to be in the order of Rs 33.53 lakh crore or a little less than $450 billion, which makes up 16.5 per cent of GDP.

Budget 2020–21 Started Unravelling Even Before the Year Began

Even before financial year 2020–21 commenced, COVID-19 struck India. The government imposed a complete lockdown in the last week of March 2020. With all businesses and factories shut down, the economy went into a tailspin.

Budget 2020–21 started falling apart even before financial year 2020–21 actually began. The lockdown imposed in the last week of March 2020 struck a massive blow to people, the economy and the Budget. Both sides of the Budget—revenues and expenditures—started unravelling right at the start of the financial year.

There was no provision for the Rs 1.7 lakh crore Atmanirbhar Bharat package announced on 26 March in the 2020–21 budget. The measures announced entailed an additional expenditure of about Rs 75,000–80,000 crore beyond what was budgeted.

As the government did not want fiscal expenditures to go out of control, it opted for strategies to cut down some budgeted expenditures or undertake expenditure commitments such that the actual outgo was postponed for later.

The government had to take emergency measures to support people's livelihood, putting growth objectives in the background. Revenue estimates were feared to fall very badly. The government decided to enhance the borrowings programme by over Rs 4 lakh crore.